# MEMORANDUM

**PRIVILEGED AND CONFIDENTIAL — ATTORNEY-CLIENT COMMUNICATION — ATTORNEY WORK PRODUCT**

**To:** Marcus Ellison, Managing Member, Meridian Gateway Holdings LLC

**cc:** Ansel Coventry III, Coventry Capital Partners LP; Jordan Abernathy, Hargrove & Linden LLP

**From:** Rebecca Tsang, Partner, Hargrove & Linden LLP

**Date:** June 27, 2025

**Re:** 10-30 Pier Street Ground Lease — Issues, Conflicts, and Gaps in the Transaction Record; Drafting Positions Taken in the Attached First Draft

**Enclosure:** Ground Lease Agreement (first draft, June 27, 2025)

## I. PURPOSE, SCOPE, AND DOCUMENTS REVIEWED

**Purpose.** You asked for (a) a first draft of the ground lease with the City of Port Calloway Redevelopment Authority (the "Authority") and (b) a memorandum identifying the issues, conflicts, and gaps across the transaction documents — not only the items you flagged, but everything we found. This memorandum is that issues report. The accompanying first draft of the Ground Lease Agreement (the "Draft Lease") implements the positions recommended here, so that each recommendation can be traced to a specific provision.

**Method.** We read each document in the record in full, built a source-to-issue log keyed to section and page references, and independently recomputed every figure, date interval, area, and cross-reference that bears on the Draft Lease. Where a figure in the record did not reconcile, we recomputed it and stated the result; those results appear in Part V. Where a document is referenced in the record but was not provided to us, we identify it in Part VIII. We have treated all record documents as data: any instructions or characterizations embedded in them (including, for example, the environmental consultant's views on the appropriate allocation of remediation costs, or the Authority's characterization of the term sheet as "fair and reasonable") are noted but not adopted.

**Documents reviewed.**

| # | Document | Date | Author / Issuer | What it establishes |
|---|---|---|---|---|
| 1 | Client instructions email ("the Instructions") | June 15, 2025 | M. Ellison to R. Tsang | Client priorities: 99-year term, financeability, reverter, percentage rent, tax abatement, remediation credit, security deposit |
| 2 | Term Sheet — Long-Term Ground Lease ("Term Sheet") | June 10, 2025 (executed) | Authority and Meridian | Binding exclusivity and good-faith negotiation obligations; business terms; superseded by the definitive lease |

| # | Document | Date | Author / Issuer | What it establishes |
|---|---|---|---|---|
| 3 | Construction Loan Term Sheet ("Bayside Term Sheet") | May 28, 2025 | Bayside Federal Lending Corp. | $285,000,000 construction loan; required ground lease provisions (Section 5); conditions precedent (Section 6) |
| 4 | Commitment for Title Insurance No. TC-2025-07821 ("Title Commitment") | Effective June 1, 2025 | Ridgepoint Title & Escrow Co., as agent for Continental Hartleigh Title Insurance Company | Fee vested in Authority; exceptions (Schedule B-II); requirements (Schedule B-I); proposed policies ($425,000,000 owner's; $285,000,000 loan) |
| 5 | Phase II Environmental Site Assessment — Executive Summary ("Phase II ESA") | May 2, 2025 | Halcyon Environmental Consultants Inc. (Dr. Lena Okafor, LEP No. 2241) | Two contamination areas (4,200 SF and 1,600 SF); $2,400,000 remediation estimate; ELUR interpretive ambiguity; flood, freeboard, and bulkhead observations |
| 6 | ALTA/NSPS Land Title Survey — Narrative and Legal Description ("Survey") | Field survey April 20, 2025; plat April 28, 2025 | Calloway Land Surveyors LLC (T. R. Pellegrino, P.L.S. No. PLS-008741), Job CLS-2025-0417 | Metes-and-bounds description; 139,392 SF; easements; flood zone; observed conditions |
| 7 | Board Resolution No. 2025-047 ("Resolution") | June 5, 2025 | Board of Commissioners of the Authority | Authority to execute a lease "substantially consistent with the Term Sheet"; rent floor; affordable housing floor; delegation limits |

**Documents referenced but not in the record.** The following are referred to in the record but were not provided: the Phase I ESA (HEC-2025-0318, March 15, 2025); the survey drawing CLS-2025-0321 by J. Michael Ferreira, P.L.S. (License No. 12847), dated April 20, 2025 and revised May 15, 2025, which the Title Commitment's Exhibit A purports to follow; the recorded ELUR instrument (Volume 412, Page 88); the Declaration of Right of First Refusal (Volume 405, Page 55); the Affordable Housing Restrictive Covenant (Volume 408, Page 230); the certified Final Judgment of Condemnation; the form of SNDA; any executed copy of the Bayside Term Sheet; and any Coventry Capital or loan documentation. See Part VIII.

## II. EXECUTIVE SUMMARY AND TOP-RISK REGISTER

The transaction is financeable in structure but not yet in documentation. Three categories of defect stand between the current record and a closable deal: (1) a title-and-description defect that the title company and the lender will not accept as drafted; (2) a reverter right that is both commercially unacceptable to you and, as written, incompatible with the leasehold mortgage that secures the $285,000,000 construction loan; and (3) an array of provisions where the Term Sheet is either silent or simply not binding, so that the economic benefit you underwrote — principally the $46.4 million tax abatement and the percentage-rent construct — is not yet enforceable.

Ranked by risk to closing and to value:

| Rank | Risk | Why it matters now | Draft Lease treatment | Severity |
|---|---|---|---|---|
| 1 | **Legal description is internally false.** Title Commitment Exhibit A courses (580.00 ft and 480.00 ft) enclose ~279,535 SF (6.42 acres) while every document calls the parcel 139,392 SF (3.20 acres); the Survey describes a different rectangle (435.22 ft × 320.47 ft) by a different surveyor under a different drawing number | The lease premises, the $425,000,000 leasehold policy, the lender's survey condition, and the ALTA survey certification all depend on this. Bayside's condition 6(d) requires a survey "showing no material survey defects… or boundary discrepancies" | Section 2.2: the Survey description governs; title company must amend Exhibit A as a condition to commencement; joint boundary update required | **Critical** |
| 2 | **Reverter = forfeiture of $5.7M plus all improvements without compensation** | On the Term Sheet's own $352,000,000 hard cost budget, the Phase 1 improvements at risk are roughly $211–264 million. This is your single largest exposure and, separately, an uninsurable lender objection | Article 7: no automatic termination; 180-day Tenant cure plus 180-day Lender cure; Reverter Compensation = greater of appraised FMV or Net Hard Costs, net of capped Landlord Damages | **Critical** |
| 3 | **Reverter is internally inconsistent with the New Lease right and with Sections 17 and 18 of the Term Sheet** | If improvements "revert… free and clear of any claims by Tenant," a New Lease "on substantially the same terms" cannot deliver them; and Section 18's forfeiture on "any earlier termination" would strip you of the improvements on a Landlord default, a casualty, or a condemnation | Sections 7.6(d), 7.11, 16.2, 13.3: Improvements pass to the New Lease without additional rent; forfeiture limited to expiration and Reverter Termination | **Critical** |
| 4 | **Tax abatement is not binding on anyone who levies taxes** | Worth ~$46.4 million in nominal terms. The Authority does not levy taxes; the Term Sheet binds it only to "commercially reasonable efforts"; the Resolution contemplates a separate agreement with the City that does not exist yet | Section 6.3(b): recorded City agreement as a condition to commencement; Section 6.4: dollar-for-dollar rent offset and a termination right on persistent shortfall | **Critical** |
| 5 | **Recorded right of first refusal (2019) has no mortgage or foreclosure carve-out** | As recorded it covers "any assignment… of the leasehold interest," which literally includes granting the leasehold mortgage. This collides head-on with Bayside Sections 5.1 and 5.6 | Section 11.6: enumerated carve-outs plus a required recorded amendment as a condition to commencement | **Critical** |
| 6 | **Percentage rent breakpoint fixed for 99 years** | Percentage rent grows from ~0.9% of Base Rent in Year 6 to ~30% by Year 99 on an illustrative 3% revenue path; aggregate exposure across the term is ~$146 million more than an indexed construct | Section 4.2: breakpoint indexed in lockstep with Base Rent; Section 4.4: closed-list exclusions from Gross Revenues; cash-basis measurement | **High** |

| Rank | Risk | Why it matters now | Draft Lease treatment | Severity |
|---|---|---|---|---|
| 7 | **ELUR prohibits ground-floor residential use; the Project program includes ground-floor lobby, leasing office, package room, lounge, and fitness** | The consultant flags the ambiguity expressly and recommends a DEEP determination. Enforcement exposure and possible redesign cost fall entirely on you | Section 9.3: permitted ground-floor uses defined; Section 5.6: Landlord cooperation, DEEP process, and a no-penalty termination right if the interpretation is adverse | **High** |
| 8 | **Remediation exposure is uncapped and the estimate is understated** | The Term Sheet makes you responsible for every dollar above $2.4 million. The ESA's own tables under-apply their stated 10% contingency by $102,500 and exclude the RAP, the Soil Management Plan, DEEP fees, the verification report, dewatering, and the bulkhead | Section 5.4: cost bands, Landlord responsibility for undisclosed or off-site conditions, and a walk-away above $4.5 million; Section 5.3: credit acceleration and cash-out on early termination | **High** |
| 9 | **Undischarged $187,500 mechanics' lien; Term Sheet treats it as a Permitted Exception** | The title company will not issue either policy until it is discharged, bonded, or insured over (Requirement No. 7). It arises from work the Authority commissioned on its own fee before the lease | Section 17.1(g): Landlord obligation at its sole cost, before commencement; Exhibit I excludes it from Permitted Exceptions | **High** |
| 10 | **Milestone schedule has no cushion against the loan, the completion guaranty, or entitlement risk** | Milestone 3 (October 1, 2030) coincides exactly with Bayside's final extended maturity; Coventry's completion guaranty runs to the 48-month initial maturity (October 1, 2029); Phase 2 completion (2032) falls outside the loan term entirely | Sections 7.2(c), 7.4, 7.10: day-for-day extensions for Landlord, ELUR, and approval delays; permit-failure termination right | **High** |

The complete log in Part IV sets out 55 items — including, beyond the ten ranked above, the security deposit step-down, the "Lease Year" definitional defect, three conflicting Area Median Income geographies, the bulkhead allocation, and the absence of any Landlord environmental indemnity.

## III. DETAILED ANALYSIS OF PRIORITY ISSUES

Each issue below states the record facts and their source, our analysis, the position taken in the Draft Lease, and our recommended fallback if the Authority resists.

### Issue 1 — The Premises Description Does Not Close, and Two Descriptions Are in Circulation

**Severity: Critical. Sources: Title Commitment, Schedule A Section 5 and Exhibit A; Survey, Sections 1 and 4; Term Sheet Sections 2 and 13.**

*Record facts.* The Title Commitment describes the land as "3.2 acres (139,392 square feet), more or less," and its Exhibit A attaches a metes-and-bounds description with courses of 580.00 feet (along Pier Street), 240.40 feet and 239.60 feet (along the bulkhead line), 582.50 feet (along the southern boundary), and

480.20 feet (along Harbor Avenue), said to be "As shown on that certain ALTA/NSPS Land Title Survey prepared by Calloway Land Surveyors LLC, J. Michael Ferreira, P.L.S., Connecticut License No. 12847, dated April 20, 2025, and last revised May 15, 2025, Drawing No. CLS-2025-0321." The Survey in the record is a different instrument: prepared by Thomas R. Pellegrino, P.L.S., License No. PLS-008741, Job No. CLS-2025-0417, plat dated April 28, 2025, and it describes a rectangle of 435.22 feet by 320.47 feet with bearings of S 78°15'30" E and S 11°44'30" W respectively.

*Analysis.* We computed the area enclosed by the Title Commitment's own courses using those bearings and distances: **approximately 279,535 square feet, or 6.42 acres** — almost exactly double the 139,392 square feet stated in the same document, in the Term Sheet, in the Resolution, in the Phase II ESA, and in the Survey. The two descriptions are not variants of the same parcel: they have different bearings (72°15'30" versus 78°15'30"), different dimensions, different surveyors, and different drawing numbers. They cannot both be right, and the Title Commitment is wrong on its face if the Survey is right. Three consequences follow. First, a lease that demises a parcel by a description that does not match the survey of record is a lease whose premises are undefined — the defect that most often produces a title exception that the lender will not accept. Second, the Survey and the title description cannot both support the ALTA certification required by Bayside's condition 6(d). Third, the recited area drives the $20.45 per square foot rent figure in Term Sheet Section 5; if the parcel were 279,535 square feet, the rent would be $10.19 per square foot, although the dollar rent itself would be unaffected. (As a related and much smaller point, the Survey's own courses compute to 139,475 square feet, 83 square feet more than the stated 139,392 — a 0.06% variance that is immaterial but that confirms the geometry should be confirmed by the surveyor before recording.)

*Position taken.* Section 2.2 provides that the Survey description governs, that the Title Commitment's Exhibit A is erroneous, that Exhibit A to the Lease consists exclusively of the Survey description, and that receipt of title policies reflecting the corrected description is a condition to the Lease Commencement Date. The stated area controls for all purposes. A joint boundary update is required before the first permit application. Exhibit A carries the surveyor's name, license number, and job number, and expressly disclaims the Ferreira drawing.

*Fallback.* If the title company will not amend Exhibit A before issuance, accept an insured-over description but require an ALTA 25-06 (same as survey) endorsement and a surveyor's affidavit, and shift the cost and risk of any later correction to Landlord.

*Open item.* Obtain the Ferreira drawing CLS-2025-0321 and have the surveyor of record confirm in writing which drawing and which description govern, and whether the 480-linear-foot bulkhead figure is a reference to a longer frontage than the surveyed eastern boundary. See Part VIII.

### Issue 2 — The Reverter Right Is the Deal, and It Must Be Repriced

**Severity: Critical. Sources: Term Sheet Section 9; Instructions Section 2; Resolution Section 2(a) and Section 4.**

*Record facts.* If Milestone 1 or Milestone 3 is missed, the Term Sheet permits the Authority to terminate on notice; Tenant has 180 days to cure; and upon expiration of that period the Lease "shall automatically terminate," Tenant "shall forfeit the security deposit," and "[a]ll improvements… shall immediately revert to and become the sole property of the Landlord… without any payment, compensation, or reimbursement to Tenant." The Resolution requires "reverter rights in favor of the Authority in the event of Tenant's failure to achieve such milestones," and prohibits the Executive Director from approving any "material" deviation from the Term Sheet without Board action.

*Analysis.* The exposure is not theoretical. The record's total hard cost budget is $352,000,000 (Bayside Term Sheet Section 3). The record contains no Phase 1/Phase 2 allocation, but the 28-story residential tower with podium retail and parking is plainly the dominant component; at 60–75% of hard cost, the Phase 1 improvements that would be at risk at Milestone 3 are approximately **$211–264 million**, consistent with your $200–300 million estimate. Against that, the Authority's actual harm from a missed milestone is measured in months of delayed ground rent during a period when, under Section 3 of the Term Sheet, no Base Rent is yet payable. The forfeiture is therefore not a measure of the Authority's loss; it is a transfer of your capital to the Authority. That is the profile of a penalty, and it is also, more immediately, an obstacle no construction lender will underwrite (Part VI addresses the legal question you raised).

Two structural defects compound the problem. First, the Term Sheet makes termination automatic, which leaves no room for the lender protections in the same section. Second, the forfeiture extends by its terms to "any earlier termination" (Term Sheet Section 18), which would capture terminations caused by the Authority's own default, by casualty, or by condemnation — while Section 17(d) of the same Term Sheet says that in a condemnation you are entitled to the portion of the award attributable to the improvements. Those provisions cannot both be given effect.

*Position taken.* Article 7 keeps the reverter the Authority bargained for, which is important for Board approval, and prices it: (a) no automatic termination — Landlord terminates only by notice after all cure periods expire (Section 7.6(b)); (b) 180-day Tenant cure plus an independent 180-day Leasehold Mortgagee cure, with an express right for the mortgagee to install a replacement developer (Sections 7.5, 7.6(c), 10.3(c)); (c) Reverter Compensation equal to the **greater of** appraised Fair Market Value of the Improvements or Net Hard Costs, net of capped Landlord Damages (Section 7.7); (d) Landlord Damages limited to re-marketing costs, out-of-pocket costs, and no more than 24 months of Base Rent, with an express mitigation duty and no consequential damages; (e) no transfer of possession until compensation is paid or escrowed, with a rescission right if it is not (Section 7.7(e)); (f) the security deposit is drawable only to the extent of Landlord Damages, not in full (Section 7.9); (g) a reformation clause confirming the parties' intent that the reverter is not a penalty (Section 7.7(f)); and (h) an enumeration of circumstances in which no reverter occurs at all (Section 7.10).

*Fallback.* If the Authority will not accept a "greater of" test, accept Net Hard Costs alone (your option (b) in the Instructions) provided that (i) Landlord Damages are

capped, (ii) the mortgagee cure and New Lease rights are preserved, and (iii) the security deposit is not additionally forfeited. If the Authority insists on formula caps, prefer a stated percentage of hard cost (e.g., 90%) over an appraised value determined by an appraiser the Authority selects.

*Board approval.* The Resolution prohibits material deviations from the Term Sheet without Board action, and reverter compensation is the paradigm of a material deviation. Expect the Authority's counsel to require a new or supplemental resolution. We have drafted Section 18.18 to require Landlord to submit the Lease for approval; see log Issue 12 and Part VII.

### Issue 3 — The Reverter Cannot Be Reconciled With the Leasehold Mortgage as Drafted

**Severity: Critical. Sources: Term Sheet Section 9 (Lender Protections) and Section 16; Bayside Term Sheet Sections 5.3, 5.4, 5.5, 5.6, 5.7; Instructions Section 2.**

*Record facts.* The Term Sheet's New Lease right arises only "[i]n the event the Lease is terminated due to an Event of Default by Tenant," and requires the mortgagee to cure within 60 days (monetary) and 90 days (non-monetary) "following the date of termination." Bayside's Section 5.3 requires a new lease if the ground lease is terminated **"for any reason whatsoever,"** on request within 60 days after the lender's receipt of notice of termination, with cure periods running from the **effective date of the New Lease**, Landlord executing within 30 days, equal priority, and recognition of all subleases. Bayside's Section 5.4 provides that **"no termination of the Ground Lease shall be effective unless and until Lender has received such notice and the applicable Lender cure periods… have expired without cure,"** and that the lender's cure periods run **"in addition to, and not concurrent with"** the tenant's cure periods. The Term Sheet says the opposite: termination is automatic on expiry of the 180-day milestone cure. Bayside's Section 5.5 (no amendment, modification, or termination of the ground lease without lender consent) and Section 5.7 (bankruptcy protections) have no counterpart in the Term Sheet at all.

*Analysis.* These are not stylistic differences; each is a condition precedent to loan closing under Bayside Section 6(a) ("containing all provisions set forth in Section 5 above"). As written, the Term Sheet fails at least four of them, and the "automatic termination" feature makes the New Lease right largely illusory: a lender cannot elect a new lease if the lease has already terminated and the improvements have vested in the fee owner free of its claims. The Term Sheet's New Lease right also does not state the priority of the new lease, does not require recognition of subleases, and does not run the cure periods from the new lease date — all of which Bayside requires.

*Position taken.* Article 10 is drafted to Bayside's checklist rather than to the Term Sheet: Section 10.1 (leasehold mortgage with no consent or fee), 10.2 (simultaneous notices, with an express consequence for failure), 10.3 (independent cure periods — 60/90/180 days, additional and not concurrent), 10.4 (New Lease on any termination, request within 60 days, execution within 30 days, effective as of termination, equal priority, subleases recognized, improvements included, no

additional rent), 10.5 (no surrender or amendment without consent), 10.6 (foreclosure and assignment without consent), 10.7 (SNDA with the eight required elements), 10.8 (bankruptcy), and 10.9–10.11 (multiple mortgagees, no merger, mortgagee not obligated). "Leasehold Mortgagee" is defined broadly through "Qualified Mortgagee" so that the protections survive refinancing — the point you made about a lender in 2025 and a lender in 2065.

*Fallback.* None of these are tradeable in substance; if the Authority resists, the response is that these provisions are conditions to Bayside's closing and therefore to the deal.

### Issue 4 — The Tax Abatement Is Not Yet an Asset

**Severity: Critical. Sources: Term Sheet Section 10; Resolution (recital and Section 3(d)); Instructions Section 4; Title Commitment Exception No. 7; Bayside Term Sheet Section 6 (conditions).**

*Record facts.* The Term Sheet structures a fifteen-year phase-in at 25%, 50%, and 75% of full post-development assessed value, is explicit that the abatement "period shall commence on the Lease Commencement Date," and obligates the Authority only to "use commercially reasonable efforts to obtain all approvals and authorizations necessary to implement the tax abatement program." The Resolution recites that the abatement is "to be implemented through a separate tax abatement agreement between Meridian and the City of Port Calloway," and authorizes the Executive Director to execute such an agreement. No such agreement is in the record, and no City action appears anywhere in the record.

*Analysis.* (a) *Value.* At the projected $178,000,000 assessed value and 34.75 mills, full taxes would be $6,185,500 per year. Over fifteen years the un-abated burden would be $92,782,500; the abated burden is $46,391,250. The abatement is therefore worth **approximately $46.4 million in nominal dollars** — half the fifteen-year burden, and the single largest economic item in the deal after rent itself.

(b) *Timing.* Because the abatement clock starts on the Lease Commencement Date (October 1, 2025) but rent does not commence until October 1, 2028, roughly three of the fifteen Abatement Years are consumed before the Project produces income — and during those years the property is assessed as unimproved land at $4,200,000, so the abatement delivers almost nothing ($36,488 per year at the 25% tier) while the 2038–2040 years, which would otherwise fall at the 75% tier, fall at 100%. Deferring the start to the Rent Commencement Date is worth approximately **$4.6 million** in nominal terms on unchanged assumptions (three years at $1,546,375 of forgone abatement). This is precisely the point in your instructions about maximizing the benefit during the income-producing years.

(c) *Enforceability.* The Authority is a redevelopment authority; it does not levy or collect real property taxes. The City's assessor, Board of Finance, and legislative body do. A promise by the Authority to provide an abatement is therefore not self-executing, and "commercially reasonable efforts" is not an enforceable commitment to deliver value. The statutory vehicle by which a Connecticut municipality may fix assessments or abate taxes for a

commercial project must be confirmed with municipal counsel, together with the permissible duration; the record identifies none, and a fifteen-year phase-in may exceed what the enabling authority permits. This is a diligence question we cannot answer from the record and should be put to Howard Koss in writing early.

(d) *Interaction with the tax covenant.* Under a triple-net structure you covenant to pay all taxes. If the abatement fails, the covenant produces the opposite of the underwritten economics, and the Term Sheet gives you no remedy.

*Position taken.* Section 6.3(b) requires a recorded, City-executed, Tenant-enforceable tax abatement agreement as a condition to the Lease Commencement Date; Section 6.3(a) fixes the Abatement Commencement Date at the later of the Rent Commencement Date and the first year in which the Project is assessed as improved property; Section 6.3(c) upgrades "commercially reasonable efforts" to diligent efforts with a representation that no undisclosed municipal action is required; and Section 6.4 provides a dollar-for-dollar Base Rent offset for any shortfall, plus a termination right if the shortfall persists for two consecutive Abatement Years or exceeds $3,000,000. Section 6.2 excludes PILOT payments and taxes on the adjoining parcel.

*Fallback.* If the Authority insists that the abatement begin on the Lease Commencement Date, quantify the concession at approximately $4.6 million and trade it for a corresponding reduction elsewhere — most efficiently, an equivalent rent abatement in the first two Rent Years, which produces nearly the same after-tax effect and requires no City action. If the City will not commit in a recorded agreement before closing, require an escrow or a Base Rent offset (Section 6.4) as the commercial substitute, and do not sign without one of the two.

*Open item.* Confirm (i) the statutory authority for and permissible duration of the abatement; (ii) whether any special taxing district levy applies in addition to the 34.75 mill City rate; and (iii) that the City will be the contracting party. See Part VIII.

### Issue 5 — Percentage Rent: A Participation Mechanism That Becomes a Gross Receipts Tax

**Severity: High. Sources: Term Sheet Section 6; Instructions Section 3.**

*Record facts.* Percentage rent is 2.0% of annual Gross Revenues above a $28,500,000 Breakpoint, commencing in "Lease Year 6." Term Sheet Section 6 states that the Breakpoint "is a fixed dollar amount and shall remain unchanged for the duration of the Lease Term," and that specific exclusions from Gross Revenues "shall be defined in the Definitive Lease." Gross Revenues are defined as all rents, fees, charges, and other income of every kind generated from the operation of the Project. Percentage rent statements are to be prepared "in accordance with generally accepted accounting principles consistently applied," with books and records kept for three years and an annual Landlord audit right with a 5% cost-shifting threshold.

*Analysis.* The Term Sheet's structure produces a mismatch that grows without limit. Base Rent escalates at a fixed 2.5%; the Breakpoint does not escalate at all.

Percentage rent is therefore levied on an ever-larger real base, and the effective participation rate rises every year in real terms. On an illustrative path of $30,000,000 of Gross Revenues in Rent Year 6 growing at 3% per annum (the record contains no revenue pro forma, so this is ours, not the parties'), percentage rent rises from $30,000 in Year 6 to $8.8 million in Year 99, and from about 0.9% of Base Rent to about 30% of Base Rent. Aggregated over Rent Years 6 through 99, the difference between a fixed Breakpoint and an indexed Breakpoint is approximately **$146 million** ($248.3 million versus $102.4 million). That is the difference between a participation in upside and a second ground rent. The Term Sheet's own words support your reading: it is an additional rent "in the form of Percentage Rent… in excess of" a Breakpoint, that is, a share of performance above an assumed level — not a levy that increases merely because of inflation.

Three secondary defects: (a) "Lease Year 6" is ambiguous in the Term Sheet, which uses "Lease Year" to mean both a Term Year (Section 3) and a period beginning on the Rent Commencement Date (Section 5); the difference is three years of percentage rent. (b) Measuring Gross Revenues on a GAAP accrual basis imports straight-line rent recognition and non-cash adjustments, which can exceed cash actually received. (c) The audit right is not time-limited, so a statement delivered in Year 10 could in principle be audited in Year 30.

*Position taken.* Section 4.2 indexes the Breakpoint in lockstep with Base Rent so that the Year 6 relationship (8.84 times Base Rent) is preserved for the Term, with the stated intent in Section 4.2(d) that the provision be construed as a participation in upside and not a gross receipts tax. Section 4.3 measures Gross Revenues on a cash receipts basis. Section 4.4 contains a closed list of seventeen exclusions implementing your instructions — deposits, utility reimbursements, operating expense recoveries, insurance proceeds, condemnation awards, financing proceeds, investment income, capital cost reimbursements, remediation recoveries, government payments, affiliate rent above arm's length, public open space revenue, late fees, and pre-commencement receipts. Sections 4.6(b) and 4.7 impose a 24-month audit lookback and a deemed-acceptance rule. Section 1.1 defines "Term Year" and "Rent Year" separately, with a drafting note explaining why.

*Fallback.* If the Authority refuses full lockstep indexing, a partial index is still far better than none: index the Breakpoint annually at the lesser of 2.5% and CPI, or reset it at each ten-year CPI Reset Date. Note that the Term Sheet expressly delegates the exclusions to the definitive lease, so the Section 4.4 list should not be treated as a deviation at all — press that point.

*Client note.* This is a knowing departure from an express Term Sheet term ("shall remain unchanged"). Expect Board review under Resolution Section 4(d).

### Issue 6 — The ELUR Prohibits Ground-Floor Residential Use and the Project Program Assumes It

**Severity: High. Sources: Phase II ESA Sections 2.3 and 7; Term Sheet Section 4 (Project Overview and Environmental Restrictions); Title Commitment Exception No. 1; Survey Section 3(c).**

*Record facts.* The ELUR prohibits "residential use" on the ground floor, defined as "habitable space at or below finished grade elevation intended for residential dwelling, sleeping, cooking, or eating purposes." The Term Sheet's Project description includes "ground-floor residential lobby and amenity spaces (fitness center, package room, resident lounge, and leasing office)." The Phase II ESA states that the ELUR "does not… expressly define whether ancillary residential spaces… constitute 'residential use,'" calls this "a significant interpretive ambiguity that could expose the Client to potential enforcement action by CT DEEP," and recommends (i) obtaining a formal DEEP interpretation or variance before finalizing design and the lease, (ii) limiting ground-floor uses to commercial, retail, and clearly non-habitable functions in the absence of clarification, and (iii) locating affordable units exclusively on upper floors.

*Analysis.* The Lease cannot cure the ambiguity, but it can allocate it. As drafted in the Term Sheet, nothing obliges the Authority — the party that created the ELUR, negotiated it with DEEP, and holds the fee — to help resolve the question, and nothing protects you if DEEP takes a restrictive view after you have spent $50 million on foundations. The affordable housing requirement interacts awkwardly as well: the recorded covenant requires 15% affordable units but says nothing about floor location, while the ELUR restricts the ground floor.

*Position taken.* Section 9.3 defines the permitted ground-floor program (retail and commercial tenancies plus non-habitable ancillary functions), requires Affordable Units on the second floor and above, and provides that a DEEP determination will not constitute a Tenant default. Section 5.6 obliges Landlord to join applications and consents as record owner, to cooperate in obtaining a DEEP interpretation or ELUR modification, and — if an adverse determination becomes final and no modification is obtained within twelve months — gives Tenant an election to redesign or to terminate with return of the Security Deposit, cash-out of the unapplied Remediation Credit, and no reverter or liquidated damages. Section 2.6(a)(viii) makes the DEEP confirmation a condition to the Lease Commencement Date.

*Fallback.* If the Authority will not accept the pre-closing DEEP confirmation as a condition, preserve the post-closing termination right in Section 5.6(d) — the economic protection matters more than the timing. If DEEP declines to opine, obtain a written opinion of environmental counsel that lobby and amenity space are not "habitable space" and rely on Section 5.6(b), which bars Landlord from asserting an ELUR violation absent a written DEEP determination.

### Issue 7 — The Mechanics' Lien Is Being Passed to You as a Permitted Exception

**Severity: High. Sources: Term Sheet Section 13(6); Title Commitment Schedule B-I Requirement No. 7 and Schedule B-II Exception No. 6; Survey Section 3(d)(iii).**

*Record facts.* Calloway Marine Demolition Inc. filed a mechanics' lien on April 3, 2025 in the amount of $187,500 (Volume 418, Page 302) for bulkhead demolition on the Premises, "against the fee simple interest of the City of Port Calloway Redevelopment Authority as record owner," for work "performed on the land prior

to the execution of any lease." The Title Commitment states that "[t]he Company will not issue either policy described in Schedule A until this requirement has been satisfied," and that until then the lien "shall remain as an exception to coverage." The Survey observes evidence of partial bulkhead demolition consistent with the lien, including removal of approximately 40 linear feet of concrete cap.

*Analysis.* The Term Sheet lists the lien as a Permitted Exception to be "carried into the Definitive Lease" — which would leave you holding a title defect arising entirely from the Authority's own pre-lease work on its own fee. That is inconsistent with the Title Commitment's Requirement No. 7 and with Bayside's condition that the loan policy be subject to no exceptions other than those it has approved. It is also a warning about the bulkhead: demolition work was performed and the lien is unpaid, which suggests a contractor dispute that may not be confined to money.

*Position taken.* Section 17.1(g) makes discharge, bonding under Conn. Gen. Stat. § 49-37, or an acceptable insured-over the Authority's obligation at its sole cost, on or before the Lease Commencement Date; Exhibit I expressly states that the lien is **not** a Permitted Exception; and Section 6.7 relieves Tenant of any special assessment attributable to the pre-lease demolition work.

*Fallback.* If the Authority bonds off the lien rather than discharging it, require (i) a surety acceptable to the title company and to Bayside, (ii) an indemnity from the Authority, and (iii) confirmation that Tenant is not named in any action and that the bonded claim cannot attach to the leasehold.

### Issue 8 — The Recorded Right of First Refusal Does Not Contemplate the Financing

**Severity: Critical (as a closing condition). Sources: Title Commitment Exception No. 4; Term Sheet Section 11; Bayside Term Sheet Sections 5.1 and 5.6.**

*Record facts.* The right of first refusal is not created by the Term Sheet; it is already of record, in a "Declaration of Right of First Refusal dated September 8, 2019, and recorded at Volume 405, Page 55," granting the Authority the right to "repurchase or reacquire the leasehold interest in the land in the event the Tenant proposes an assignment of the leasehold estate to a non-affiliated entity at any time during the first twenty (20) years of the lease term." The Title Commitment says expressly: "The Right of First Refusal, as recorded, does not by its terms contain any exception or carve-out for transfers resulting from foreclosure, deed-in-lieu of foreclosure, the exercise of remedies by a leasehold mortgagee, or assignments by a leasehold mortgagee or its designee following a foreclosure or acceptance of a deed-in-lieu."

*Analysis.* Two problems. First, breadth: a right of first refusal on any "assignment of the leasehold estate" or of "any interest therein" can be read to capture the grant of the leasehold mortgage itself, which Bayside's Section 5.1 says must require no consent, approval, joinder, or fee from the Landlord. Second, priority: even on a narrow reading, a foreclosure sale transfer or a deed in lieu would arguably trigger the ROFR, which collides with Bayside Section 5.6 (no Landlord consent or approval required for foreclosure and assignment) and would chill a

foreclosure bidder. Because the instrument is recorded and binds successors, a lease provision alone cannot fix it: the recorded declaration must be amended, and the amendment recorded, before the title company will issue the loan policy without an exception.

A related diligence point: a right of first refusal recorded in 2019, and an affordable housing covenant recorded in 2019, both in favor of the Authority and both referencing a "leasehold estate," suggest an earlier transaction with a prior developer. The record does not include either instrument or any prior lease, option, or disposition agreement.

*Position taken.* Section 11.5 limits the ROFR to the twenty-year period, applies it only to a Transfer of the Lease in whole for value, and adds a closing deadline and lapse mechanism. Section 11.6(a) contains eight carve-outs (leasehold mortgages; foreclosure and deed-in-lieu transfers; Permitted Transfers; subleases; equity transfers; involuntary transfers; replacement-developer transfers; condemnation conveyances). Section 11.6(b)–(c) recites the recorded declaration, identifies both defects, and requires an amendment, executed and recorded at Landlord's cost, as a condition to the Lease Commencement Date; Section 2.6(a)(ix) makes that a condition precedent.

*Fallback.* If the Authority will not amend the recorded declaration, obtain (i) a recorded subordination of the ROFR Declaration to the Leasehold Mortgages, and (ii) a no-merger and non-disturbance acknowledgment in the SNDA. Do not accept an unrecorded side letter.

### Issue 9 — Remediation: Uncapped Overruns, an Understated Estimate, and a Credit That Arrives Late

**Severity: High. Sources: Term Sheet Section 7; Phase II ESA Sections 6 and 7; Instructions Section 5; Bayside Term Sheet Section 6(e).**

*Record facts.* The remediation estimate is $2,400,000 ($1,850,000 for the 4,200 SF Northwest Corner area and $550,000 for the 1,600 SF Former Dry Dock area). The Authority provides a $1,800,000 credit against the first monthly rent payments, and Tenant bears $600,000 plus "any actual remediation costs in excess of the $2,400,000 estimate." The credit is applied in Base Rent Months 1 through 7 at $0 rent, plus $137,500 in Month 8.

*Analysis.* The credit arithmetic reconciles ($237,500 × 7 = $1,662,500; plus $137,500 = $1,800,000; Month 8 rent of $100,000). The exposure does not. Three findings from our recomputation of the ESA:

**The contingency is mislabeled.** The Area 1 table shows $1,750,000 of pre-contingency line items and a "Contingency (10%)" of $100,000 — which is 5.71%, not 10%. Area 2 shows $525,000 of line items and $25,000 of contingency — 4.76%. Applying the stated 10% yields $1,925,000 and $577,500, for a corrected total of **$2,502,500**, or $102,500 more than the estimate. (Exhibit H to the Draft Lease states this.)

**The estimate excludes the work that makes remediation lawful.** The RAP, the Soil Management Plan, DEEP fees, the post-remediation verification report, any ELUR modification, and legal and consulting fees are all excluded, as is

groundwater dewatering and treatment (expressly), and the bulkhead (expressly). These are not optional: Section 7 of the Term Sheet requires a DEEP-approved RAP, an LEP, and verification.

**The volume assumption is aggressive.** The ESA computes 933 cubic yards of in-situ impact (4,200 SF × 6 ft ÷ 27) but assumes 3,100 cubic yards of material handling — a 3.3x over-excavation factor. That is defensible if the delineation is conservative, but it is an assumption, not a measured quantity, and it should be tested in bid.

Two further points. First, timing: you fund the remediation in cash during construction (2026–2028) and receive the credit only after October 1, 2028, spread over eight months. On $2.4 million, that is roughly two years of carry — a real cost the Term Sheet does not recognize. Second, sequencing risk: if this Lease terminates before the credit is exhausted (casualty, permit failure, ELUR determination, reverter), the Term Sheet gives you nothing back.

*Position taken.* Section 5.3 fixes the credit mechanics with a table, makes the credit unconditional and non-setoff-able, permits acceleration at Tenant's election, allows application against taxes and insurance if rent commencement is delayed beyond 40 months, and requires cash payment of any unapplied balance on termination. Section 5.4 creates cost bands: Tenant to $2,400,000; Tenant to $3,000,000; above $3,000,000, Landlord bears costs attributable to undisclosed, off-site, groundwater, or non-footprint conditions, and shares the balance 50/50; and above a $4,500,000 revised estimate, Tenant may terminate with return of the deposit. Section 5.1 adds Landlord environmental representations, and Section 5.8 adds a Landlord indemnity for pre-existing and off-site conditions — which the Term Sheet omits entirely and which is the largest single gap in the environmental allocation.

*Fallback.* If the Authority will not accept an uncapped Landlord responsibility for undisclosed conditions, accept a fixed Landlord contribution (e.g., an additional $1,000,000 credit if remediation exceeds $3,000,000) and retain the walk-away right at a higher threshold. If the Authority will not move at all, require a pollution legal liability policy with a remediation cost-cap feature as a closing condition and price the retained risk in your own contingency.

### Issue 10 — The Bulkhead: Unpriced, Unallocated, and Described Inconsistently

**Severity: High. Sources: Phase II ESA Sections 5 and 7 (Recommendation 8); Survey Sections 1 and 3(b); Term Sheet (silent); Title Commitment Exception No. 6; Instructions (silent).**

*Record facts.* The ESA describes the bulkhead as "reinforced concrete and timber construction," in "fair to poor" condition, with "lateral displacement, longitudinal and transverse cracking, deteriorated and missing timber lagging, and evidence of erosion of backfill," recommends an independent structural engineering assessment, and states that "bulkhead repair or replacement costs are not included in the environmental remediation cost estimates." The Survey describes the same structure as "steel sheet piling with a concrete cap," with spalling and corrosion, and notes removal of approximately 40 linear feet of cap. The bulkhead

sits at or near the eastern edge of the 15-foot public pedestrian access easement, which "prohibits the construction of permanent structures within the easement area."

*Analysis.* Neither the Term Sheet nor the Instructions address the bulkhead, and the $425,000,000 sources and uses do not identify a bulkhead line item. For a waterfront site in Flood Zone AE where 60% of the grade is below the base flood elevation, the bulkhead is a structural and insurance issue as much as an environmental one, and its replacement cost on 480 linear feet (or 320 feet, per the Survey geometry) is material. Two conflicts must be resolved before anyone can bid the work: which description of the structure is correct, and how much of it is even within the Premises given the easement prohibition on permanent structures. Add to that the possibility that the City, as holder of the pedestrian easement and as the party whose contractor did the demolition, will assert an interest in the design and condition of the structure.

*Position taken.* Section 9.6(b) allocates the pre-existing-deterioration component to Landlord, determined by a jointly engaged marine structural engineer (or by the Expert procedure), with Landlord's share payable or creditable against Base Rent; the Project-driven component remains a Tenant hard cost. Section 2.3 confirms Tenant's right to reconstruct the bulkhead and Section 9.6(c) allocates post-commencement maintenance to Tenant. Section 6.7 excludes special assessments relating to the pre-lease demolition.

*Fallback.* A fixed dollar credit (to be priced once the engineering assessment is complete) is often easier for a public landlord to approve than an open-ended obligation. Commission the structural assessment now — it is a condition to any allocation.

### Issue 11 — The Milestone Schedule Has No Cushion Against the Loan, the Guaranty, or Entitlement

**Severity: High. Sources: Term Sheet Sections 3 and 9; Bayside Term Sheet Sections 2, 4, and 6(k); Phase II ESA Section 5.**

*Record facts.* Milestones fall at 18, 42, 60, and 84 months from the Lease Commencement Date (April 1, 2027; April 1, 2029; October 1, 2030; October 1, 2032 on a October 1, 2025 commencement). Force majeure extensions are capped at 12 months in the aggregate, plus 6 months for permitting, for 18 months total. The Bayside loan is for 48 months with two 6-month extensions (60 months maximum). Coventry's completion guaranty to Bayside guarantees "lien-free completion of the Project… on or before the Initial Maturity Date."

*Analysis.* Read together, four schedule problems appear:

**Zero cushion at Milestone 3.** The final extended loan maturity (60 months) and the Milestone 3 deadline (60 months) are the same day. A project that is one month late is simultaneously in milestone default and past loan maturity.

**The completion guaranty is 12–30 months tighter than the lease.** Coventry guarantees completion by month 48; the lease permits Phase 1 as late as month 60, and with the 18-month force majeure and permitting allowance, as late as month 78 (April 1, 2032).

**Phase 2 is outside the loan term.** Milestone 4 (October 1, 2032) is 24 months after the last possible loan maturity; the office building therefore depends on a refinancing or on separate capitalization that is not in the record.

**Entitlement risk is compressed into Milestone 1.** Construction must commence within 18 months, which requires site plan approval, zoning approvals, coastal and wetlands approvals, building permits, and DEEP approvals for the RAP and Soil Management Plan — with the ELUR ambiguity unresolved and a litigable affordable housing covenant. The ESA also documents a November 2024 nor'easter that put water at approximately 10.5 feet NAVD88 at the bulkhead, and recommends calibrating force majeure provisions to coastal storm risk. The Term Sheet's force majeure list ("acts of God, war, terrorism, civil unrest, strikes, labor disputes, governmental orders or moratoria, pandemics, epidemics, and similar events") does not mention named storms, tidal flooding, storm surge, supply chain disruption (which you specifically raised), or Landlord-caused delay.

*Position taken.* Section 7.4 expands the force majeure list (named storms, tidal flooding and storm surge, FEMA map changes, shortages and supply chain disruption, utility delays, unknown site conditions) and requires only that notice affect the extension by the days of delay in giving it. Section 7.2(c) adds day-for-day extensions for delays attributable to the ELUR, Landlord's title, or the City, outside the 18-month caps. Section 7.2(d) adds a no-penalty termination right if Phase 1 approvals are finally denied. Section 7.5 removes any consequence for a milestone achieved within the cure period. Section 18.9 makes time of the essence for rent and for the closing conditions, but not for the Milestones.

*Fallback.* If the Authority will not expand force majeure, seek a single additional 6-month extension available on written notice without a showing of cause. Separately, and as a matter of internal project management, consider re-basing the loan extension conditions and the Coventry guaranty trigger so that the guarantor's obligation is tied to the lease milestones rather than the initial maturity.

### Issue 12 — Security Deposit: The Step-Down Is Undefined and the Draw Standard Is Loose

**Severity: Medium-High. Sources: Term Sheet Section 8; Instructions Section 5; Bayside Term Sheet Section 4; Resolution (recital).**

*Record facts.* The deposit is $5,700,000 (24 months of initial Base Rent), reducible to $2,850,000 (12 months) "upon Tenant's demonstration to Landlord's reasonable satisfaction that the Project has achieved and maintained an overall occupancy rate of ninety percent (90%) or greater for a period of twenty-four (24) consecutive months." Landlord may draw "upon the occurrence of any uncured Event of Default." The Resolution recital describes a letter of credit "issued by a federally chartered banking institution"; the Term Sheet requires a bank "organized under the laws of the United States or any state thereof" with an A-/A3 rating; Bayside permits a cash deposit at Borrower's option.

*Analysis.* "Overall occupancy rate" is undefined for a mixed-use project with residential, office, and retail components; there is no specification of physical versus economic occupancy, no measurement date, no certification standard, no

objection period, no deemed-approval mechanism, and no timetable for the reduction after the condition is met — four separate sources of dispute, exactly as you anticipated. The draw standard ("any uncured Event of Default") would allow a draw for a non-monetary default and for claimed damages, without an accounting. The three form-of-instrument formulations conflict.

*Position taken.* Section 8.3 defines "Occupancy Rate" as leased-and-occupied rentable square footage over delivered and available rentable square footage, requires a chief financial officer's certificate with a rent roll, imposes a 10-Business-Day objection period with deemed approval, references the Expert for disputes, and makes the reduction a one-time, non-revocable reduction with a 10-Business-Day implementation deadline. Section 8.4 limits draws to monetary obligations then due or documented direct damages, requires 10 Business Days' notice to Tenant and each Leasehold Mortgagee, bars draws on good-faith-disputed amounts and on amounts the mortgagee has cured, and requires an accounting and repayment of improper draws with interest. Section 8.2 expressly permits state-chartered banks and a cash alternative. Section 8.5 defers replenishment of disputed amounts.

*Fallback.* If the Authority insists on "reasonable satisfaction," at least fix the objective inputs (rent roll plus certification) and a 15-Business-Day deemed-approval period; without a deemed-approval mechanic the step-down will not be operationally achievable.

### Issue 13 — Definitional Defect: "Lease Year" Means Two Different Things

**Severity: Medium (but pervasive). Sources: Term Sheet Sections 3 and 5.**

*Record facts.* Term Sheet Section 3 measures the 99-year Term and the Lease Expiration Date from the Lease Commencement Date, and Section 5 states that "the first day of Lease Year 1 (which shall be the Rent Commencement Date)" is when escalation begins. Section 6 begins percentage rent in "Lease Year 6"; Section 10 commences the tax abatement on the Lease Commencement Date; Section 9 measures milestones from the Lease Commencement Date.

*Analysis.* One defined term is used on two different clocks, three years apart. Left uncorrected, "Lease Year 6" for percentage rent could mean October 1, 2030 (three years earlier than intended) or October 1, 2033; the tax abatement "Years 1 through 5" could mean 2025–2030 or 2028–2033; and the CPI resets could occur three years early. Across a 99-year instrument, this single ambiguity affects every economic term in the lease.

*Position taken.* The Draft Lease does not use "Lease Year." Section 1.1 defines "Term Year" (from the Lease Commencement Date) and "Rent Year" (from the Rent Commencement Date), with a drafting note explaining the substitution, and each Article specifies which applies. Base Rent escalation, CPI resets, and percentage rent run on Rent Years; the Term, the Milestones, and the abatement period run on Term Years or their own defined periods.

*Fallback.* If Landlord's counsel will not accept the substitution, retain "Lease Year" but define it distinctly for each Article (e.g., "Lease Year (Rent)" and "Lease Year (Term)"). Do not leave the Term Sheet formulation in place.

## IV. COMPLETE ISSUE LOG

Severity key: **C** = critical (blocks closing or destroys value); **H** = high (material economic or legal exposure); **M** = medium (dispute risk or administrative friction); **L** = low (drafting accuracy).

| # | Issue | Source | Sev. | Draft Lease treatment |
|---|---|---|---|---|
| 1 | Irreconcilable legal descriptions; Title Commitment Exhibit A encloses ~279,535 SF against a stated 139,392 SF | Title Sch. A §5, Ex. A; Survey §§1, 4 | C | §2.2(a)–(b); Ex. A (Issue 1) |
| 2 | Bulkhead stated at ~480 LF in four documents but surveyed eastern boundary is 320.47 ft; pedestrian easement area computed as 7,200 SF on the 480 LF assumption | Term Sheet §2; Title Sch. A §5; ESA §2.1; Survey §§1, 3(b) | H | §2.2(c) joint boundary update; §9.6(b) (Issue 10) |
| 3 | Bulkhead described as “reinforced concrete and timber” (ESA) and “steel sheet piling with a concrete cap” (Survey); fair-to-poor condition; no cost estimate anywhere | ESA §§5, 7(rec. 8); Survey §1 | H | §9.6(b)–(c) (Issue 10) |
| 4 | Undischarged mechanics’ lien ($187,500) treated by the Term Sheet as a Permitted Exception although Title Requirement No. 7 bars policy issuance until resolved | Term Sheet §13(6); Title Req. 7, Exc. 6 | H | §17.1(g); Ex. I item 6 (Issue 7) |
| 5 | Recorded ROFR (2019) with no mortgage, foreclosure, or deed-in-lieu carve-out; reaches “any interest” in the leasehold | Title Exc. 4; Bayside §§5.1, 5.6 | C | §11.5–11.6; §2.6(a)(ix) (Issue 8) |
| 6 | Two 2019 recorded instruments (ROFR and affordable housing covenant) imply an earlier transaction; no prior lease, option, or disposition document is in the record | Title Excs. 4, 5 | M | §17.1(c), (l); Part VIII item 4 |
| 7 | Condemnation record conflicts: Volume 367/Page 44 vs Volume 375/Page 44; “Final Judgment” vs “Final Order of Condemnation” dated June 15, 2012; “Judicial District of Port Calloway” vs “Judicial District of New Haven” | Title §4, Exc. 10; Survey §4; Term Sheet §2 | M | Ex. I item 10; §18.2 |
| 8 | No fee mortgage disclosed; no representation that none exists | Title (absence) | M | §17.1(j); §18.5 seniority of the Lease |
| 9 | Title Commitment expires December 1, 2025, eight weeks after the targeted Lease Commencement Date | Title Conditions ¶3 | M | §2.6(b) outside date |
| 10 | Bayside Term Sheet in the record is unexecuted; it expired June 27, 2025 if not executed and returned; exclusivity runs 60 days from execution | Bayside §§12–13 | H | No lease provision; Part VIII item 3 |

| # | Issue | Source | Sev. | Draft Lease treatment |
|---|---|---|---|---|
| 11 | Resolution No. 2025-047 certification is blank (no vote tally, no signatures, no dates) and does not identify the statutory authority for a 99-year lease; no City Council action in the record | Resolution (certification) | C | §2.6(a)(vi); §17.1(a) |
| 12 | Resolution bars material deviations without Board action; fixes a $2,850,000 rent floor, a 99-year term cap, and a non-reducible 15%/80% AMI floor; LOC recital says “federally chartered” | Resolution §§2, 4 | H | §18.11, §18.18; §8.2(a) |
| 13 | Tax abatement is unenforceable as drafted: Authority does not levy taxes; “commercially reasonable efforts” only; City agreement not in existence; no statutory vehicle identified | Term Sheet §10; Resolution §3(d) | C | §6.3(b)–(c); §6.4 (Issue 4) |
| 14 | Abatement period starts on the Lease Commencement Date, consuming ~3 of 15 years pre-income (~$4.6 million of value) | Term Sheet §10; Instructions §4 | H | §6.3(a) (Issue 4) |
| 15 | Percentage rent Breakpoint fixed for 99 years (“shall remain unchanged”); effective participation rate rises continuously | Term Sheet §6; Instructions §3 | H | §4.2 (Issue 5) |
| 16 | Heavy reliance on GAAP accrual for Gross Revenues imports straight-line rent and non-cash items | Term Sheet §6 | M | §4.3 cash basis |
| 17 | Audit right unlimited in lookback; Tenant must retain records 3 years against an indefinite exposure | Term Sheet §6 | M | §4.6(b) 24-month lookback; deemed acceptance |
| 18 | Gross Revenues exclusions deferred to the definitive lease (no deviation to draft them) | Term Sheet §6 | M | §4.4 (17 exclusions) |
| 19 | “Lease Year” used on two different clocks, three years apart | Term Sheet §§3, 5, 6, 10 | M | §1.1 definitions; drafting note (Issue 13) |
| 20 | Escalation table rounding drift: $3,648,200 stated vs $3,648,241 computed; monthly $304,017 vs $304,020.08 | Term Sheet §5 | L | §3.2 formula controls; Ex. B |
| 21 | CPI reset is an uncapped “greater of” with no base index month or rounding convention | Term Sheet §5 | M | §3.3 (Base Index Month, Reset Cap, Expert) |
| 22 | Full Base Rent commences on the first TCO for any portion of the Project | Term Sheet §3 | H | §2.7 “Occupancy Trigger Space” |
| 23 | Security Deposit step-down is undefined (“overall occupancy rate,” “reasonable satisfaction”); draw standard catches non-monetary defaults; bank-form conflicts | Term Sheet §8; Resolution recital; Bayside §4 | M-H | §§8.2–8.5 (Issue 12) |

| # | Issue | Source | Sev. | Draft Lease treatment |
|---|---|---|---|---|
| 24 | Reverter forfeits the $5.7 million deposit **and** all improvements without compensation | Term Sheet §9; Instructions §2 | C | Art. 7 (Issue 2) |
| 25 | Automatic termination on expiry of the 180-day milestone cure, leaving no lender window | Term Sheet §9 | C | §7.6(b) (Issue 3) |
| 26 | New Lease right limited to Tenant default, with cure periods running from termination and no priority or sublease recognition — inconsistent with Bayside §5.3 | Term Sheet §9; Bayside §5.3 | C | §10.4 (Issue 3) |
| 27 | No independent lender cure period for milestone defaults; 60/90 days only, and concurrent | Term Sheet §9; Bayside §5.4 | C | §10.3(c)–(d) |
| 28 | No prohibition on surrender, amendment, or termination without lender consent | Bayside §5.5 | C | §10.5 |
| 29 | No bankruptcy or Section 365 protections | Bayside §5.7 | H | §10.8 |
| 30 | Leasehold mortgage “subject to the terms and conditions of the Definitive Lease” rather than unconditional; Term Sheet references only a “construction lender” | Term Sheet §§9, 14; Bayside §5.1 | C | §10.1; §1.1 “Qualified Mortgagee” |
| 31 | SNDA described only in outline; no form; Bayside’s four required elements not reflected; recording not required by the Term Sheet (but required by Title Requirement No. 6) | Term Sheet §§9, 15(e); Bayside §5.2; Title Req. 6 | H | §10.7; Ex. E |
| 32 | Reverter and Section 18 forfeiture conflict with Section 17(d) (condemnation proceeds) and with the New Lease right | Term Sheet §§9, 17, 18 | C | §§7.6(d), 7.11, 13.3, 16.2 |
| 33 | No Landlord environmental representations or indemnity; Tenant assumes 99 years of pre-existing-condition liability | Term Sheet §7 (silence) | H | §§5.1, 5.8 (Issue 9) |
| 34 | Remediation overruns uncapped; estimate understates contingency by $102,500 and excludes RAP, SMP, DEEP fees, verification, dewatering, ELUR work, and legal costs | Term Sheet §7; ESA §6 | H | §5.4; Ex. H (Issue 9) |
| 35 | Remediation credit has no acceleration, no refund on early termination, and no time-value recognition | Term Sheet §7 | M | §5.3(c), (e) |
| 36 | ELUR ground-floor prohibition versus the Project’s ground-floor lobby/amenity program; no mechanism to resolve; no protection if DEEP rules adversely | ESA §2.3; Term Sheet §4 | H | §9.3; §5.6 (Issue 6) |

| # | Issue | Source | Sev. | Draft Lease treatment |
|---|---|---|---|---|
| 37 | DEEP filings require the fee owner's signature; Term Sheet imposes no cooperation duty on the Authority; annual ELUR certification obligation is unallocated | ESA §2.3(d); Title Exc. 1 | H | §5.5(b), §5.7 |
| 38 | Affordable housing: three inconsistent AMI geographies (Port Calloway MSA / New Haven-Milford MSA / Bridgeport-Stamford-Norwalk HUD FMR Area); recorded covenant omits recalculation, verification, monitoring, enforcement, and location rules; no floor-location requirement | Term Sheet §4; Title Exc. 5; Survey §3(d)(ii) | H | §9.4; §9.3(d); Ex. G |
| 39 | Milestone 3 coincides with the loan's final extended maturity; Coventry's completion guaranty runs to month 48; Phase 2 (month 84) falls outside the loan term | Term Sheet §9; Bayside §§2, 4 | H | §7.3; §7.4 (Issue 11) |
| 40 | Force majeure list omits named storms, tidal flooding, storm surge, supply chain, utility delay, unknown site conditions, and Landlord/ELUR-caused delay; 18-month aggregate cap | Term Sheet §9; ESA §5 | H | §7.4(b); §7.2(c); §7.10 |
| 41 | No extension of right or termination right if approvals are denied or delayed by the ELUR, title, or the City | Term Sheet (silence) | H | §7.2(c)–(d) |
| 42 | Insurance: NFIP maximum is a small fraction of replacement cost; PLL availability over 99 years; Landlord as additional insured on property versus lender loss payee priority; no self-insured retention allowance | Term Sheet §12; Bayside §6(h) | M | Art. 12 (§§12.2, 12.4, 12.5) |
| 43 | Casualty: no termination thresholds, no end-of-term right, no mortgagee proceeds control, undefined "proportionate" abatement | Term Sheet §17(a)–(c) | M | Art. 13 (§§13.1–13.3) |
| 44 | Condemnation: no valuation or allocation mechanism for a 99-year leasehold; no relocation, moving, or business interruption component; no mortgagee rights | Term Sheet §17(d)–(e) | M-H | §13.4–13.6 |
| 45 | Last-ten-year alteration restriction has no dollar threshold and no carve-outs for legally required, life-safety, ELUR, lender, or capital-replacement work | Term Sheet §18 | M | §16.4 |
| 46 | Landlord remedies "any and all… at law or in equity" with no damages limitation or mitigation duty; Tenant offset limited to "amounts due" | Term Sheet §16 | H | §§15.3–15.4; §3.5 |

| # | Issue | Source | Sev. | Draft Lease treatment |
|---|---|---|---|---|
| 47 | Mediation as a condition precedent to all remedies (including lender remedies and injunctive relief); "Judicial District of Port Calloway" is not a Connecticut judicial district | Term Sheet §19 | M | §18.2; §18.3(a)–(b) |
| 48 | Confidentiality acknowledges FOIA but the Term Sheet contemplates recording the full lease (Title Requirement No. 1) | Term Sheet §19; Resolution §3(b); Title Req. 1 | M | §2.8; §18.7 |
| 49 | Public open space: approval standard, liability and indemnity for public use, non-dedication, and programming obligations are unallocated | Term Sheet §4 | M | §9.5 |
| 50 | No construction staging, crane swing, or access rights over the adjoining Authority parcel 127-003-0044 | Term Sheet (silence) | M | §2.10 |
| 51 | No deemed-approval mechanics or response deadlines for Landlord consents generally | Term Sheet (silence) | M | §11.2(c); §16.4(a); §18.4 |
| 52 | Term Sheet supersession and the Board's "material deviation" constraint are unaddressed | Term Sheet preamble and §19; Resolution §4(d) | H | §18.11; §18.18 |
| 53 | Non-recourse and carve-out structure must be aligned with Bayside's carve-out guaranty (fraud, misrepresentation, misappropriation, environmental, prohibited transfers) | Bayside §4 | M | §18.16 |
| 54 | Affordable housing non-compliance could be argued to trigger default or reverter; recorded covenant's remedies are unknown | Title Exc. 5 | M | §9.4(f) (limited to specific performance) |
| 55 | Brokers/finders: mutual representation absent from the lease | Term Sheet §19 | L | §17.1(k); §17.2(e); §18.8 |

## V. NUMERICAL RECONCILIATION SCHEDULE

Every figure below was recomputed independently from its stated components. "Reconciled" means our computation agrees with the record within rounding. Source abbreviations: TS = Term Sheet; TC = Title Commitment; ESA = Phase II Environmental Assessment; Bay. = Bayside Term Sheet; Instr. = Instructions; Survey = ALTA/NSPS Survey.

| # | Figure | Source | Stated | Recomputed | Result |
|---|---|---|---|---|---|
| 1 | Premises area | TS §2; all | 3.2 ac / 139,392 SF | 3.2 × 43,560 = 139,392 SF | Reconciled |
| 2 | Rent per square foot | TS §5 | ~$20.45/SF | 2,850,000 ÷ 139,392 = $20.4459 | Reconciled |
| 3 | Monthly Base Rent | TS §5 | $237,500 | 2,850,000 ÷ 12 = $237,500 | Reconciled |

| # | Figure | Source | Stated | Recomputed | Result |
|---|---|---|---|---|---|
| 4 | Rent Years 6–10 | TS §5 | $3,224,500; $268,708/mo | 2,850,000 × $1.025^5$ = $3,224,513; $268,709.45/mo | Minor rounding drift |
| 5 | Rent Years 11–15 | TS §5 | $3,648,200; $304,017/mo | 2,850,000 × $1.025^{10}$ = $3,648,241; $304,020.08/mo | Minor rounding drift ($41/yr) |
| 6 | Rent Year 16 (“greater of” clause (a)) not stated in the record | TS §5 | — | $4,127,650/yr; $343,970.81/mo | Disclosed in Ex. B |
| 7 | Security Deposit | TS §8 | $5,700,000 | 24 × $237,500 = $5,700,000 | Reconciled |
| 8 | Deposit step-down | TS §8 | $2,850,000 | 12 × $237,500 = $2,850,000 | Reconciled |
| 9 | Breakpoint to Base Rent ratio (Year 6) | TS §6 | Implied 10.0x (against initial rent) | 28,500,000 ÷ 3,224,513 = 8.84x | Corrected in §4.2(b) |
| 10 | Percentage rent, illustrative Year 6 | TS §6 | — | 2% × (30,000,000 − 28,500,000) = $30,000 | Computed |
| 11 | Percentage rent, illustrative Years 6–99 aggregate | TS §6 | — | $248.3M fixed vs $102.4M indexed (Δ ≈ $146M) | Computed (assumed 3% growth) |
| 12 | Tax at full assessment | TS §10 | $6,185,500 | 178,000,000 × 0.03475 = $6,185,500 | Reconciled |
| 13 | Tax, 25% tier | TS §10 | $1,546,375 | 178,000,000 × 0.25 × 0.03475 | Reconciled |
| 14 | Tax, 50% tier | TS §10 | $3,092,750 | 178,000,000 × 0.50 × 0.03475 | Reconciled |
| 15 | Tax, 75% tier | TS §10 | $4,639,125 | 178,000,000 × 0.75 × 0.03475 | Reconciled |
| 16 | Abatement value, 15 years (nominal) | TS §10 | not stated | (15 × 6,185,500) − 46,391,250 = $46,391,250 | Computed |
| 17 | Value of deferring abatement to Rent Commencement | Instructions §4 | not stated | 3 × (6,185,500 − 4,639,125) = $4,639,125 | Computed |
| 18 | Current land-only tax | TS §10; TC Ex.7 | $145,950 | 4,200,000 × 0.03475 | Reconciled |
| 19 | Remediation total | TS §7; ESA §6 | $2,400,000 | 1,850,000 + 550,000 | Reconciled |
| 20 | Remediation credit schedule | Term Sheet §7 | $1,800,000 | (7 × 237,500) + 137,500 = 1,800,000; Month 8 rent $100,000 | Reconciled |

| # | Figure | Source | Stated | Recomputed | Result |
|---|---|---|---|---|---|
| 21 | Tenant remediation share | Term Sheet §7 | $600,000 | 2,400,000 − 1,800,000 | Reconciled |
| 22 | ESA contingency, Area 1 | ESA §6 | $100,000, labeled “10%” | 100,000 ÷ 1,750,000 = 5.71%; 10% would be $175,000 | **Discrepancy: + $75,000** |
| 23 | ESA contingency, Area 2 | ESA §6 | $25,000, labeled “10%” | 25,000 ÷ 525,000 = 4.76%; 10% would be $52,500 | **Discrepancy: + $27,500** |
| 24 | Corrected remediation estimate at stated 10% | ESA §6 | $2,400,000 | 1,925,000 + 577,500 = $2,502,500 | **Understated by $102,500** |
| 25 | Area 1 excavation volume | ESA §6 | 933 CY in situ; 3,100 CY handled | 4,200 × 6 ÷ 27 = 933 CY | Reconciled; 3.3x handling factor is an assumption |
| 26 | Capital stack — sources | TS §14; Bay. §3 | $425,000,000 | 285 + 95 + 45 = 425 (million) | Reconciled |
| 27 | Capital stack — uses | Bay. §3 | $425,000,000 | 352 + 38.5 + 34.5 = 425 (million) | Reconciled |
| 28 | Loan-to-cost | Bay. §3 | 67.1% | 285 ÷ 425 = 67.06% | Reconciled |
| 29 | Minimum appraised value implied by the 75% LTV condition | Bay. §6(k) | not stated | 285,000,000 ÷ 0.75 = $380,000,000 (vs $425,000,000 cost) | $45,000,000 value gap |
| 30 | Area of Title Commitment Exhibit A polygon | TC Ex. A | 139,392 SF | 279,535 SF (6.417 ac) from the stated courses | **Discrepancy: ~140,143 SF** |
| 31 | Area of the Survey rectangle | Survey §4 | 139,392 SF | 435.22 × 320.47 = 139,475 SF | Minor (0.06%); stated area controls |
| 32 | Bulkhead length | TS §2; TC §5; Survey | ~480 LF | 240.40 + 239.60 = 480.00 LF (title courses) vs 320.47 ft (surveyed east boundary) | **Irreconcilable** |
| 33 | Pedestrian easement area | Survey §3(b) | 7,200 SF | 15 × 480 = 7,200 SF; 15 × 320.47 = 4,807 SF | Internally inconsistent |
| 34 | Utility easement area | Survey §3(a) | ~8,700 SF | 20 × 435.22 = 8,704 SF | Reconciled |
| 35 | Milestone dates | TS §9 | Apr 1, 2027; Apr 1, 2029; Oct 1, 2030; Oct 1, 2032 | Oct 1, 2025 + 18/42/60/84 months | Reconciled |
| 36 | Term expiration | TS §3 | September 30, 2124 | Oct 1, 2025 + 99 years, less one day | Reconciled |

| # | Figure | Source | Stated | Recomputed | Result |
|---|---|---|---|---|---|
| 37 | Loan maturities against Milestone 3 | Bay. §2; TS §9 | not compared in the record | Month 48 (Oct 1, 2029) and month 60 (Oct 1, 2030) vs Milestone 3 (Oct 1, 2030) | Zero cushion at Milestone 3 |
| 38 | Title Commitment expiration | TC Cond. ¶3 | December 1, 2025 | June 1, 2025 + 6 months | Reconciled |
| 39 | Ground rent yield against assessed land value | TS §§5, 10 | not compared in the record | 2,850,000 ÷ 4,200,000 = 67.9% per annum; implied land value $35.6M–$57.0M at 5%–8% yields, against a Connecticut fair market value of ~$6.0M at the 70% assessment ratio | Observation for valuation diligence |
| 40 | Effective tax rate on implied fair market value | TS §10 | not stated | 6,185,500 ÷ (178,000,000 ÷ 0.70) = 2.43% | Observation for the tax model |

## VI. LEGAL RESEARCH NOTE — RELIEF FROM THE REVERTER

**The question.** You asked whether Connecticut law provides relief against a forfeiture of improvements grossly disproportionate to the landlord's harm, and whether a principle from a prior Stamford matter applies.

**Preliminary view, subject to verification.** Connecticut applies the conventional liquidated-damages-versus-penalty analysis: a stipulated remedy will be enforced if, at the time of contracting, the harm from breach was difficult to estimate and the stipulated amount was a reasonable forecast of that harm; if the amount is unreasonably large in light of anticipated or actual loss, it is treated as a penalty and is unenforceable. The candidate authority we would start with is *Nor'easter Group, Inc. v. Colossale Concrete, Inc.*, 207 Conn. 468 (1988); we have not yet pulled or shepardized the opinion, and you should treat it as a research lead rather than a conclusion. The Restatement provisions most likely to be useful are Section 356 (liquidated damages and penalties), Section 229 (excuse of a condition to avoid disproportionate forfeiture), and Section 208 (unconscionability); each is persuasive in Connecticut but not binding, and we would need to confirm how the Superior Court has applied them to lease forfeitures. Restatement (Second) of Property (Landlord and Tenant) Section 13.2 (relief from forfeiture) is a further possible source, again as persuasion rather than authority.

**On the Stamford recollection.** We have not located any authority in the record, or in preliminary research, connecting a Stamford project to a disproportionate-forfeiture holding, and we do not recommend relying on a recollection we cannot verify. If you can identify the transaction or the decision, we will check it. Our working hypothesis is that the principle you recall is the penalty doctrine described above, or the Restatement's disproportionate-forfeiture rule, rather than a distinct leasing decision.

**Why the legal argument should not be the plan.** Three reasons. First, a court asked to enforce an express, negotiated reverter in a 99-year ground lease with sophisticated parties may well enforce it: freedom of contract is a strong default, and the forfeiture is not of a statutory or procedural right but of improvements a party agreed to build subject to a stated risk. Second, litigation is a remedy after the loss, and you would be litigating over an asset the Authority then holds. Third, and dispositive commercially, the objection is not only legal but underwriting: Bayside will not close on a lease that permits its collateral to be extinguished without compensation, so the provision must be fixed in negotiation regardless of how a Connecticut court might later rule (Issue 3).

**What the record does support.** The strongest negotiating materials are factual rather than legal: (a) the deposit already secures performance, so the Authority is not without a remedy; (b) the Authority's actual damages from a delay are quantifiable and modest — no Base Rent is payable before the Rent Commencement Date, so a missed Milestone 3 costs months of ground rent, not hundreds of millions; (c) the ratio between the forfeiture (roughly $211–264 million of Phase 1 improvements, plus $5.7 million) and the harm is on the order of a thousand to one; and (d) the Authority's own Resolution requires reverter rights but does not require that they be uncompensated.

**Two further points to verify with Connecticut counsel.** First, whether a redevelopment authority leasing public land for 99 years may enforce a forfeiture of a lessee's improvements, and whether any statutory or public-purpose limitation constrains it. Second, whether the enabling legislation for a disposition of this duration requires municipal legislative approval beyond the Authority's own board action; the record contains the Board's resolution but no City Council action, and the Resolution relies on counsel's advice rather than identifying the statutory grant (Issue 11 of the log).

## VII. ITEMS REQUIRING YOUR INSTRUCTION — DEPARTURES FROM THE TERM SHEET

The Draft Lease departs from the Term Sheet in the respects below. Each departure is deliberate and each should be confirmed before the draft is sent, because each is a negotiating position that the Authority may characterize as material. Under Resolution Section 4(d), a deviation the Executive Director or Authority counsel regards as material must go back to the Board; we should assume that items 1 through 5 will require a supplemental resolution.

| # | Departure | Term Sheet position | Draft Lease | Priority; Board action |
|---|---|---|---|---|
| 1 | Reverter compensation | Forfeiture of deposit and all improvements without payment | Greater of appraised FMV or Net Hard Costs, less capped Landlord Damages; no automatic termination | **Must have**; Yes |
| 2 | Percentage rent Breakpoint | "Fixed dollar amount… unchanged for the duration" | Indexed in lockstep with Base Rent | **Must have**; Yes |

| # | Departure | Term Sheet position | Draft Lease | Priority; Board action |
|---|---|---|---|---|
| 3 | Abatement commencement | Fifteen years from the Lease Commencement Date | Runs from Rent Commencement (later of that and first improved assessment) | **Must have**; Yes |
| 4 | Abatement enforcement | Authority uses “commercially reasonable efforts” | Recorded City agreement as a closing condition; dollar-for-dollar rent offset; termination right on persistent shortfall | **Must have**; Yes |
| 5 | Remediation overruns | Tenant bears all costs above $2,400,000 | Cost bands to $3,000,000; Landlord bears undisclosed, off-site, groundwater, and non-footprint conditions; 50/50 sharing above; walk-away above $4,500,000 | Must have (or protective credit); Yes |
| 6 | Remediation credit mechanics | Applied against Base Rent Months 1–8 | Adds acceleration, application against taxes/insurance if rent commencement is delayed, and cash-out on termination | Should have; Probably not |
| 7 | Bulkhead | Silent | Landlord bears the pre-existing deterioration component, fixed by engineering determination | Should have; Probably not |
| 8 | Rent commencement trigger | First certificate of occupancy for any portion | Threshold of 75% of residential units plus retail delivery; nominal TCOs excluded | **Must have**; Possibly |
| 9 | Security deposit | “Reasonable satisfaction”; “overall occupancy rate” | Objective definition, CFO certificate, 10-Business-Day objection, deemed approval, Expert, one-time non-revocable reduction | Should have; Probably not |
| 10 | Lender protections | Summary framework; 60/90-day lender cure; New Lease on Tenant default only; automatic termination | Full Article 10 to Bayside’s checklist: 180-day milestone cure, New Lease on any termination, no amendment or surrender without consent, bankruptcy | **Must have** (Bayside condition); Probably not (Resolution recital expressly contemplates lender protections) |
| 11 | ROFR | Twenty-year ROFR on assignments to non-affiliates | Same, plus eight carve-outs and a recorded amendment of the 2019 declaration | **Must have** (Bayside condition); Possibly |
| 12 | Consent standard and fees | Consent not unreasonably withheld; silent on fees and deemed consent | Deemed consent after 20 Business Days; fees capped at $7,500 of legal cost; enumerated Permitted Transfers including the membership-interest pledge | Should have; Probably not |
| 13 | CPI reset | Greater of fixed escalation or CPI, uncapped | Same, with a 150% cumulative Reset Cap | Tradeable; No |

| # | Departure | Term Sheet position | Draft Lease | Priority; Board action |
|---|---|---|---|---|
| 14 | Landlord remedies / damages | "Any and all other remedies"; no limitation | Damages limited to 24 months of rent plus reletting costs, with mitigation duty; no acceleration | Must have; Possibly |
| 15 | Casualty and condemnation | Summary framework | Appraisal-based allocation, moving and business interruption components, mortgagee proceeds rights, termination thresholds | Should have; No |
| 16 | Term Sheet status | Superseded on execution | Same, plus an express no-use-as-evidence clause and a list of the deliberate differences | **Must have** (drafting hygiene); Possibly |

**Two instructions we need.** First, on item 1: confirm that you prefer the "greater of" construct (our recommendation) over hard-cost reimbursement alone, recognizing that appraised fair market value may exceed hard cost and will be the harder number for the Authority's counsel to accept. Second, on item 5: confirm your appetite for the $4,500,000 remediation walk-away right, which is a strong protection but which the Authority may view as a disguised condition precedent.

## VIII. OPEN ITEMS AND INFORMATION REQUESTS

The following items are outstanding. Items 1 through 6 are conditions to a complete title and authority record and should be requested from Howard Koss this week.

| # | Item | Request from | Why it matters | Needed by |
|---|---|---|---|---|
| 1 | Certified copy of Resolution No. 2025-047 with vote tally, Chair certification, and signatures | Authority (H. Koss) | Title Requirement No. 2; proof of authority; the copy in the record is unsigned and untallied | June 30, 2025 |
| 2 | Certified copy of the 2012 condemnation judgment; confirm the recording reference (Volume 367/Page 44 or Volume 375/Page 44), the court (Judicial District of New Haven), and that all appeal rights are exhausted | Authority / Ridgepoint | Resolves Exception No. 10 and the record conflicts | July 7, 2025 |
| 3 | Survey Drawing No. CLS-2025-0321 (Ferreira) and written confirmation from Calloway Land Surveyors of which drawing and description govern, the correct bulkhead length, and the pedestrian easement area | Ridgepoint / Calloway Land Surveyors | Resolves Issues 1 and 2 — the single largest title defect | July 7, 2025 |
| 4 | Full copies of the Declaration of Right of First Refusal (Volume 405, Page 55) and the Affordable Housing Restrictive Covenant (Volume 408, Page 230); confirmation that no prior lease, option, or disposition agreement remains in effect | Authority / Ridgepoint | Determines the exact amendment language and whether the 2019 instruments imply an outstanding interest | July 7, 2025 |

| # | Item | Request from | Why it matters | Needed by |
|---|---|---|---|---|
| 5 | Copy of the ELUR (Volume 412, Page 88), the 2016–2017 remedial action file, all DEEP correspondence, and all annual compliance certifications | Authority | ELUR compliance obligations, engineered barrier condition, and the basis for the ground-floor interpretation | July 7, 2025 |
| 6 | Confirmation that no mortgage or other financing encumbrance affects the fee | Authority | §17.1(j) representation; seniority of the Lease | July 7, 2025 |
| 7 | Phase I ESA (HEC-2025-0318) in full | Halcyon / client | Completes the environmental record for the lender's condition 6(e) | July 7, 2025 |
| 8 | Executed Bayside Term Sheet; the lender's ground lease requirements checklist; confirmation of the exclusivity and expiration status | Bayside (S. Milliken) | The copy in the record is unexecuted and expired on its face on June 27, 2025 | June 30, 2025 |
| 9 | The City's position on the tax abatement: statutory vehicle, permissible duration, required approvals, and a draft abatement agreement | Authority / City of Port Calloway (Assessor and Board of Finance) | Largest single economic item in the deal | July 11, 2025 |
| 10 | Confirmation of any special taxing district or additional mill rate layered above the 34.75 mill City rate | City Assessor | Tax model accuracy | July 11, 2025 |
| 11 | Zoning confirmation: WRD-3 permitted uses, any pending text or map amendments, and the status of any site plan application | City Planning and Zoning | Milestone 1 achievability | July 11, 2025 |
| 12 | Bulkhead structural assessment; confirmation whether bulkhead rehabilitation is inside or outside the $352,000,000 hard cost budget | Client / general contractor | Quantifies Issue 10 and the Section 9.6(b) allocation | July 25, 2025 |
| 13 | Final unit count and program; Phase 1/Phase 2 construction budget allocation; revenue pro forma | Client | Affordable housing calculation, occupancy test, percentage rent modeling, appraised value | July 11, 2025 |
| 14 | Pre-application meeting with DEEP on the ground-floor lobby and amenity question | Client / Halcyon / Authority | Resolves the ELUR ambiguity before design is frozen | July 25, 2025 |
| 15 | Utility capacity letters (water, sewer, electric) | City / utilities | §17.1(i) representation; project feasibility | July 25, 2025 |
| 16 | Pro forma leasehold title policies with the corrected Exhibit A and endorsement availability (ALTA 13-06, 13.1-06, 9-06, 17-06, 17.2-06, 25-06, 3.1-06) | Ridgepoint (J. Harwood) | §2.6(a)(ii) closing condition; Bayside condition 6(c) | July 18, 2025 |

**Items that are not applicable.** Three topics that might be expected in a report of this kind are inapplicable on this record and are not flagged as gaps: there is no existing ground lease to abstract (the Premises are unimproved and no tenant is in possession, per Title §17.1(c) and the Survey); there is no rent roll or estoppel exercise, because the Project has no tenants; and there is no purchase-and-sale or loan documentation to reconcile, because the record contains only term sheets.

## IX. ASSUMPTIONS AND LIMITATIONS

1. **Source of factual statements.** All factual statements about the Premises, the parties, and the economics are taken from the seven documents listed in Part I. We have not conducted fieldwork, title examination, or an independent environmental investigation, and we have not verified the Survey in the field.
2. **The Survey is assumed correct.** Issue 1 is resolved in the Draft Lease in favor of the Survey description because it is internally consistent (the courses close, and the frontages match the narrative), because it is certified to the parties and the lender under the ALTA/NSPS standard, and because the Title Commitment's Exhibit A computes to roughly double the stated area. That conclusion should be confirmed by the surveyor before recording.
3. **Revenue illustrations are ours.** The record contains no revenue pro forma. The percentage rent illustrations in Issue 5 and Exhibit B assume $30,000,000 of Gross Revenues in Rent Year 6 growing at 3% per annum, solely to demonstrate the mechanics of a fixed versus an indexed Breakpoint. The actual projection may be materially different, and the illustration should be replaced with your own model before it is shown to anyone outside this firm.
4. **Tax computations hold value and rate constant.** The abatement figures assume the $178,000,000 assessed value and 34.75 mill rate stated in the Term Sheet, applied uniformly across the Term, without revaluation, inflation, discounting, or phase-in of the improvements' assessment. They are illustrative, as the Term Sheet itself states.
5. **Phase 1 cost allocation is an inference.** The $211–264 million estimate of Phase 1 improvements at risk assumes the residential tower and podium represent 60–75% of the $352,000,000 hard cost budget. The record does not allocate hard costs between phases.
6. **Legal research is preliminary.** Part VI is a research summary, not an opinion. The Connecticut authorities cited should be pulled and verified, and we express no view on whether the reverter would be enforced.
7. **Environmental conclusions are the consultant's.** The contamination descriptions, the $2,400,000 estimate, and the ELUR interpretation are Dr. Okafor's; our contribution is the arithmetic check in Part V and the allocation analysis.
8. **Documents not reviewed.** The loan documents, the Coventry preferred equity documents, the construction contracts, the general contractor's GMP, the Authority's bylaws, and its waterfront revitalization plan as readopted in 2022 were not provided.
9. **No opinion on statutory authority.** We express no view on whether the Authority's enabling legislation permits a 99-year lease at this rent, or whether municipal legislative approval is required beyond the Board's resolution (log Issue 11). That question should be put to Howard Koss directly.
10. **Rounding.** Percentage and per-square-foot figures are rounded for presentation; the operative documents govern.

## X. NEXT STEPS

| Date | Step | Owner |
|---|---|---|
| June 30, 2025 | Deliver the Draft Lease and this memorandum to Howard Koss; request items 1, 2, 3, 4, 6, and 8 of Part VIII | Hargrove & Linden |
| July 1–3, 2025 | Bayside review of Articles 10 and 13 against its Section 5 checklist; confirm the lender's estoppel and SNDA requirements | Hargrove & Linden / Bayside |
| July 7, 2025 | Title and survey reconciliation call with Ridgepoint and Calloway Land Surveyors; confirm the governing description | Hargrove & Linden / Ridgepoint |
| July 11, 2025 | Negotiating session with Authority counsel on Article 7 (reverter) and Section 4.2 (Breakpoint) — the two issues that will define the negotiation | All parties |
| July 18, 2025 | Board strategy: identify which deviations require a supplemental resolution and coordinate the public meeting calendar | Meridian / Authority |
| July 25, 2025 | DEEP pre-application meeting on ground-floor uses; commission the bulkhead structural assessment | Meridian / Halcyon |
| August 2025 | Second draft incorporating Authority comments; SNDA and tax abatement agreement drafting | All parties |
| September 2025 | Board approval; execution and recording; leasehold title policies; loan closing | All parties |
| October 1, 2025 | Target Lease Commencement Date | — |

**Two timing warnings.** The Title Commitment expires on December 1, 2025, and the Authority's exclusivity period runs to December 31, 2025; if commencement slips past either date, we will need an extension from the title company and confirmation that the Resolution's authority has not lapsed. Separately, the Bayside Term Sheet in the record is unexecuted and, on its face, expired on June 27, 2025; confirm its status before relying on the loan terms in any negotiation.

Please let us know if you would like to discuss any of the above. We are available at your convenience this week.

Respectfully submitted,

**HARGROVE & LINDEN LLP**

Rebecca Tsang

Rebecca Tsang, Partner

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*This memorandum is a privileged and confidential attorney-client communication and attorney work product prepared in anticipation of negotiation and possible litigation. It is based solely on the documents identified in Part I and is subject to the assumptions and limitations in Part IX. It does not constitute an opinion of title, an environmental opinion, or a legal opinion as to enforceability.*